



The Morning Brief

MAY 14, 2026

PPI Shrug

Hot 6.0% YoY April PPI gave way to a chip-led record close as Marvell jumped 8.18%, Warsh was confirmed Fed Chair, and the Beijing summit opened.

S&P 500	NASDAQ (QQQ)	APRIL PPI YOY	MRVL	FEAR & GREED
\$742.31 ↑0.56% · Record	\$714.71 ↑1.06% · Record	6.0% · Hottest since 12/22	\$177.95 ↑8.18%	34 · Fear (from 42)

SECTION 01

Markets

HOT PPI BYPASSED BY A TECH-LED TAPE — SPY +0.56% AND NASDAQ +1.06% TO FRESH CLOSING RECORDS

The April PPI print landed materially above consensus and the tape rallied anyway. Per the BLS release and CNBC and CNN Business coverage, headline PPI rose 1.4% MoM — the largest single-month advance since March 2022 — and accelerated to 6.0% YoY from 4.0% in March, the steepest 12-month pace since December 2022 per the BLS release; core PPI excluding food and energy rose 1.0% MoM versus a 0.4% consensus. The upstream driver was the same energy passthrough that hit yesterday's CPI: BLS reported final-demand energy prices climbed 7.8% with gasoline up 15.6% as pump prices crossed \$4 per gallon during the survey window. Despite the upside surprise, SPY closed +0.56% at \$742.31 with an intraday high of \$743.91 and the Nasdaq (QQQ) added 1.06% to \$714.71, both at fresh closing records per CNBC's session coverage. The Dow (DIA) was modestly weaker at \$497.14 (−0.15%), reflecting the rate-sensitive composition rather than a broad-market reversal. TLT (20Y Bond) declined 0.22% to \$84.80, consistent with the front-end of the curve continuing to absorb a no-cut path: per The Washington Post and CNBC coverage of yesterday's Senate floor action, Trump allies have publicly framed the rate-cut timetable as needing to wait through the energy-inflation impulse. UVXY ticked higher to \$36.71 (+2.71%) in a session that was otherwise pro-risk — positioning kept a vol bid even as the cash tape advanced.

MARVELL +8.18% ON AMD EQUITY STAKE AND BOFA'S TARGET RAISE TO \$200 — CHIP COMPLEX REPAIRS AFTER TUESDAY'S RESET

The chip complex retraced the CPI-day reversal in clean fashion. MRVL closed +8.18% at \$177.95 — the day's top IOWN mover — on two catalysts per Motley Fool and Yahoo coverage: AMD's disclosure of a 65,516-share equity stake in Marvell (~\$11.6 million per Quiver Quant) and Bank of America's price-target raise to \$200 from \$125 citing AI-networking demand. The connectivity/custom-silicon sub-

theme broadened across the IOWN semi sleeve: ADI +3.04% to \$432.39 on chip-strength session coverage from Benzinga and Yahoo, FTNT +3.35% to \$117.69 on Yahoo's Nvidia-Fortinet-Red Hat partnership writeup, LRCX +2.14% to \$295.44 per the wafer-fab AI piece in Yahoo, NVDA +2.29% to \$225.83 ahead of next Wednesday's May 20 print, NXPI +1.42% to \$298.41, and TSM +0.63% to \$399.80. CRDO was the lone notable laggard at \$189.36 (−4.64%) after Tuesday's sharp reset, though SeekingAlpha's coverage continues to argue the structural connectivity thesis remains

intact. The pattern is consistent with Tuesday's reversal being absorbed by a buyer base that read the move as a valuation reset rather than a thesis break.

SECTOR MIX INVERTED FROM TUESDAY — DEFENSIVE SLEEVE GAVE BACK, RATE-SENSITIVE YIELD COHORT PRESSURED

Wednesday's sector tape was the clean inverse of Tuesday's defensive rotation. Tech (XLK) led at +0.94%, Comm Services (XLC) +0.78%, Healthcare (XLV) +0.59%, and Discretionary (XLY) +0.36% — the offensive trio that absorbed Tuesday's selling carried Wednesday's bid. The bottom of the tape was the rate-sensitive yield cohort: Utilities (XLU) – 1.15%, Financials (XLF) –1.14%, Real Estate (XLRE) – 0.83%, and Industrials (XLI) –0.42%. Within the IOWN dividend sleeve the rate-shock pattern was visible: SSNC – 2.91% to \$64.77, TEL –2.84% to \$207.66, ADP –2.42% to \$208.63, GPC –1.86% to \$98.87, GD –1.47% to \$341.36, and VLO –1.22% to \$244.10. The exceptions were SYK (+2.59% to \$302.09) extending Tuesday's gain and STLD (+1.84% to \$237.08) on Yahoo's session writeup. Fear & Greed moved to 34 (Fear) from Tuesday's 42 reading despite the record close — the index continues to lag the tape, with the energy-

inflation impulse and the no-cut Fed path keeping the sentiment overlay anchored to the bond market rather than the equity record.

SPY · NASDAQ · DOW	\$742.31 ↑0.56% Rec · \$714.71 ↑1.06% Rec · \$497.14 ↓0.15%
APRIL PPI HEADLINE / CORE	+1.4% MoM · 6.0% YoY (vs 4.9% est) · Core +1.0% MoM (vs 0.4%)
PPI ENERGY / GASOLINE	Final-demand energy +7.8% · Gasoline +15.6%
CHIP LEADERS	MRVL ↑8.18% · FTNT ↑3.35% · ADI ↑3.04% · NVDA ↑2.29% · LRCX ↑2.14%
SECTORS (TOP/ BOTTOM)	XLK ↑0.94% · XLC ↑0.78% · XLU ↓1.15% · XLF ↓1.14%
DIVIDEND SLEEVE LAG	SSNC ↓2.91% · TEL ↓2.84% · ADP ↓2.42% · GPC ↓1.86%
BONDS / VOL	TLT \$84.80 ↓0.22% · UVXY \$36.71 ↑2.71%
OVERNIGHT FUTURES	S&P +0.2% · Nasdaq +0.6% (per CNBC)
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested (Wed low \$735.47)

A 6.0% YoY PPI print that the equity tape absorbed without flinching is the kind of disconnect that historically resolves either through a bond-market reset or a peak-energy fade. The IOWN spine — AI infrastructure, physical-world energy, dividend cash flow — was built to function in either resolution. Think Like an Owner.

Geopolitics

WARSH CONFIRMED FED CHAIR 54–45 — CLOSEST VOTE IN MODERN ERA — POWELL’S TERM ENDS TOMORROW

The Fed transition is complete. Per CNBC, NPR, The Hill, and Bloomberg coverage of yesterday’s Senate floor action, Kevin Warsh was confirmed as the next Federal Reserve Chair in a 54–45 vote — characterized by CNBC as the closest Fed chair confirmation in the modern era — with Pennsylvania Democrat Senator John Fetterman the lone cross-aisle vote. The Washington Post reported Trump allies have publicly framed expectations that rate cuts may have to wait, an unusual signal from the administration given the President’s prior commentary on the Powell-era stance. Powell’s term as Chair ends Friday May 15 per the Federal Reserve calendar; he has stated he will remain on the Board per prior CNBC and NPR reporting. Warsh’s first FOMC meeting as Chair is scheduled for June 16–17 per Bloomberg. The transition lands within 48 hours of an April PPI print at 6.0% YoY and inside the open window of the Trump-Xi Beijing summit — a sequencing that places the new Chair in the position of receiving the May CPI and PPI prints in early June before his first policy meeting. The market reaction across the curve was modest: TLT –0.22% on the day, consistent with positioning that has been progressively converging on a no-cut 2026 path since the Iran war began.

TRUMP–XI SUMMIT OPENS IN BEIJING — XI INVOKES “THUCYDIDES TRAP,” NAMES TAIWAN AS THE CRITICAL ISSUE

The summit is underway. Per CNBC, Al Jazeera, and CSIS coverage of this morning’s opening session, Xi opened by invoking the Thucydides Trap framing — the historical pattern under which a rising power and a ruling power slide into conflict — and stated that Taiwan was the most important issue for US-China relations, with state-media coverage warning that mishandling could push the bilateral relationship into dangerous territory. Trump described Xi’s leadership in positive terms in the opening remarks; Xi framed shared interests as outweighing differences. On Iran, Al Jazeera reported the analytical consensus that China’s help on Hormuz would likely require US concessions on Taiwan, and CNBC reported analyst views that Iran — while on the agenda — is not the central issue for either party at this summit. China remains the largest buyer of Iranian crude at over 80% of Tehran’s shipped exports per Al Jazeera reporting, which gives Beijing material leverage on the Hormuz disruption now passing through to US PPI and CPI. For the IOWN portfolio, the read-through is four-way: rare earths and chip export licensing (semi sleeve), tariff posture, Taiwan-related supply-chain risk concentrated in TSM, and the energy-inflation feedback loop. The Asian session traded constructive overnight; CNBC reported S&P futures +0.2% and Nasdaq futures +0.6% into Thursday’s open.

HORMUZ REMAINS EFFECTIVELY CLOSED — US DISABLED TWO IRANIAN TANKERS MAY 8 AS PUMP PRICES CROSS \$4.46/GALLON

The physical disruption that anchors the inflation impulse continues. Per Washington Post, NPR, and Al Jazeera coverage, US forces disabled two Iranian-flagged tankers (M/T SEA STAR III and M/T SEVDA) before they could enter an Iranian Gulf of Oman port on May 8, with Iran subsequently announcing the establishment of a Persian Gulf Strait Authority requiring full coordination and clearance for shipping through Hormuz. CNN cited an oil-market expert framing that gasoline could approach \$5 per gallon if the strait remains closed; current pump prices sit near \$4.46 per gallon per the same coverage, a level last seen nearly four years prior. Reuters reporting carried in the data drop noted the stress on the crude market and Asian banks raising provisions on credit risk as the conflict persists. The energy-sleeve tape on Wednesday was mixed despite the geopolitical anchor: XLE +0.10%, CVX +0.03% to \$186.00, OKE +0.41% to \$88.79, VLO –1.22% to \$244.10, while FCX +1.71% to \$67.16 continued to track the broader commodities complex. Oil ETFs eased into the summit: USO –1.57% to \$142.04, BNO –1.83% to \$55.85 — a marginal de-risking pattern consistent with positioning for a constructive read out of Beijing.

WARSH CONFIRMATION	54–45 · Closest modern Fed Chair vote · Fetterman lone D yes
POWELL TRANSITION	Chair term ends Fri 5/15 · Remains on Board · Warsh first FOMC 6/16–17
BEIJING SUMMIT OPENING	Xi: “Thucydides Trap” · Taiwan named critical issue · Summit runs through Friday
IRAN & CHINA	China buys >80% of Iran’s shipped crude exports per Al Jazeera
HORMUZ STATUS	Effectively closed · US disabled 2 Iranian tankers 5/8 · Pump prices ~\$4.46/gal
ENERGY SLEEVE	XLE ↑0.10% · CVX flat · VLO ↓1.22% · USO ↓1.57% · BNO ↓1.83%

On Our Radar

1. April Retail Sales and Initial Jobless Claims drop at 7:30 AM CT — the first read on whether energy inflation is yet shaping consumer behavior.

Per the data drop's economic calendar and Investing.com's Thursday preview, the BLS-adjacent Census release is expected at +0.5% MoM for headline Retail Sales (Prior +1.7%) and +0.6% MoM ex-autos (Prior +1.9%), with the Control Group at +0.4% (Prior +0.7%). Initial Jobless Claims consensus sits at 205K (Prior 200K) with Continuing Claims at 1.79M (Prior 1.766M). The committee's framework: a soft Retail Sales print combined with claims drifting higher would tend to ease the front-end of the curve and partially relieve the rate-sensitive cohort of the dividend sleeve (NEE, ATO, BKH, EIX, ADP, REIT exposure); a hot print on either would reinforce the no-cut path the bond market has been pricing. Import Prices YoY at +2.1% prior also lands at 7:30 — a secondary inflation read that has historically tracked the energy passthrough. *Avoid Erosion.*

2. NVDA prints next Wednesday May 20 with management having guided to ~\$78B in Q1 FY27 revenue against a \$72.6B Wall Street consensus.

Per Motley Fool and IG International coverage of the print setup, NVDA management guided fiscal Q1 2027 revenue to approximately \$78 billion plus or minus 2% — well ahead of the \$72.6 billion Wall Street consensus — with EPS expected at \$1.77. CEO Jensen Huang has publicly framed the Blackwell-plus-Rubin opportunity through 2027 at \$1 trillion or more in addressable demand. Investors are focused on the Blackwell-to-Rubin handoff and any data-center order-pause signal; data center revenue has compounded from \$3 billion in fiscal 2020 to \$194 billion in fiscal 2026 per Morningstar. NVDA closed +2.29% Wednesday at \$225.83, the print is the binary that resolves whether the chip complex's Wednesday repair extends or reverses. *Research Reveals Opportunities.*

3. The Beijing summit continues through Friday with Iran, AI chip controls, and rare earths the dominant dossiers — Asia stocks turned higher overnight. Per CNBC, CSIS, and Al Jazeera coverage of this morning's summit open, the agenda will be tested in real time over the next 36 hours. Constructive movement on rare-earth exports or AI chip licensing would tend to support the IOWN semi sleeve (NVDA, AMD, QCOM, NXPI, MRVL, LRCX, TSM); pressure on Beijing to constrain Iranian oil purchases would tend to relieve the energy-inflation feedback loop now passing through to PPI and CPI. The CEO delegation traveling with the President signals commercial-channel signaling alongside the diplomatic content per CFR. The Taiwan framing in Xi's opening remarks adds a new dimension: any escalation in that channel would directly affect TSM's positioning within the growth sleeve.

4. CTRA-Devon merger completed May 7 — the IOWN dividend-sleeve energy exposure now flows through DVN.

Per Stock Titan, Investing.com, and Yahoo coverage of the merger close, Devon Energy completed its all-stock acquisition of Coterra Energy on May 7 with each Coterra share converted into 0.70 Devon shares; CTRA was subsequently delisted from the NYSE. The reported -8.62% CTRA print in the data drop reflects post-delisting data-feed artifact rather than a tradable signal. The IOWN dividend-sleeve thesis on the upstream-energy position now functions through DVN, with the combined entity carrying CTRA's Q1 cash-from-operations strength inside a larger Permian and Anadarko footprint. Fitch upgraded the credit and maintained a positive watch following the close per Finnhub. The committee should expect the IOWN holdings template to reflect the conversion in the next update.

5. AMD's equity stake in Marvell and BofA's target raise to \$200 reframe the AI-networking sub-theme — MRVL is now a structural read on the connectivity layer. Per Motley Fool, Yahoo, and Quiver Quant coverage of yesterday's catalysts, AMD's 65,516-share disclosure (~\$11.6 million) and Bank of America's revision from \$125 to \$200 cite custom-silicon and AI-networking demand as the structural drivers. The read-through is consistent with NVIDIA's \$6.3 billion cloud-capacity deal with CoreWeave referenced in the Motley Fool coverage — the AI build is broadening from accelerators to the networking, optical, and custom-ASIC layers that IOWN owns through MRVL, CRDO, KEYS, and NXPI. CRDO's -4.64% Wednesday move sits inside that same structural theme rather than against it. **The physical world matters.**

6. Fear & Greed at 34 (Fear) on a record-close day signals a sentiment-tape divergence worth tracking — UVXY +2.71% confirms the residual hedging bid. The CNN Fear & Greed Index moved to 34 (Fear) from Tuesday's 42 reading even as SPY and Nasdaq printed fresh closing records. The divergence is consistent with index construction that weighs bond-market and breadth components alongside price — both of which remained cautious into the record print. UVXY closed +2.71% on a pro-risk equity session, a pattern that indicates positioning is still paying for downside protection rather than chasing the upside. Historically, sentiment indicators that lag a tape advance have resolved in either direction; the analytical case continues to favor maintaining the IOWN spine over rotating into the catch-up trade. *Simplicity Over Complexity.*

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